Pankaj Chhaochharia
+91 22 6911 3340
pankaj.chhaochharia@antiquelimited.com

Dhirendra Tiwari
+91 22 6911 3436
dhirendra.tiwari@antiquelimited.com

INDIA STRATEGY: PREVIEW

Union Budget 2026

Dual focus on capex and modest fiscal consolidation!

After the successful announcement of the India-EU Free Trade Agreement, the focus will now be on the upcoming Union Budget (scheduled for February 1, 2026). We believe that the Union budget will be non-inflationary in nature and the focus will be on policy continuity in terms of capital spending and modest fiscal consolidation. We expect a) FY27 fiscal deficit of 4.2% of GDP (against 4.4% in FY26BE); b) Capital spending of INR 12.5 trn (or 3.2% of GDP, highest levels since FY14); c) Gross tax revenue growth of ~9.4%; and d) Revenue expenditure growth of 8.0% YoY or 10.3% of GDP (lowest levels since FY14).

May meet FY26 fiscal deficit despite the sharp cut in tax collection

FY26 fiscal deficit target of 4.4% of GDP is likely to be met despite a ~8% cut (or INR 2.3 trn) in tax revenue. The shortfall in tax collection is likely to be met by a) An increase in non-tax revenue (primarily driven by higher RBI dividend) and b) Lower revenue expenditure.

Dual focus on capex and modest fiscal consolidation

We expect the government to stick to its fiscal consolidation glide path, with the FY27 fiscal deficit likely to be at 4.2% of GDP (as compared to the FY26 budget estimate of 4.4% of GDP). Overall, we expect FY27 nominal GDP, gross tax revenue, revenue expenditure, and capital expenditure growth of 10.2% YoY, 9.4% YoY, 8.0% YoY, and 11.5% YoY respectively. We expect FY27 net market borrowings of INR 11.7 trn (as compared to INR 11.5 trn in FY26BE).

Non-inflationary in nature

Overall, we believe that the Union Budget will be non-inflationary in nature given the fiscal consolidation (4.2% of GDP in FY27 as against 4.4% of GDP in FY26) and lower revenue expenditure (8.0% YoY in FY27) as compared to gross tax revenue growth (9.4% YoY in FY27). In terms of policy announcements, the government may attempt to provide relief to equity market investors by increasing long-term capital gain exemption on listed equities (from the current INR 1.25 lakh per annum). Also, an attempt may be made to reduce the tax rate on interest income on fixed deposits or increase tax deduction in order to spur deposit growth.

FY27 capital expenditure is likely to be at INR 12.5 trn

The government may attempt to crowd-in private capex through 11.5% YoY growth in capital expenditure (3.2% of GDP in FY27, highest levels since FY14) with focus primarily on defence. Despite strong execution in the first eight months, we believe that the FY26 capex budget estimate of INR 11.2 trn is unlikely to exceed the target due to weak mobilization in tax revenue.

Top pick

Top pick

	M Cap (USDbn)	CMP (INR)	TP (INR)	Return (%)	EPS FY25	EPS FY26	EPS FY27	PE (x) FY25	PE (x) FY26	PE (x) FY27	P/B (x) FY26	ROE (%) FY26
Large Cap (>USD 10 bn)												
ICICI Bank	104.8	1,343	1,715	28	69	81	93	19.5	16.5	14.5	2.0	16.0
State Bank of India	103.6	1,030	1,105	7	86	90	100	12.0	11.4	10.3	1.4	16.0
Hindustan Aeronautics	31.4	4,306	6,346	47	129	150	167	33.4	28.6	25.8	6.2	23.1
Adani Power	28.0	133	187	40	6	6	7	22.5	21.4	18.8	3.2	16.3
HDFC Life Insurance	16.8	712	890	25	9	11	12	22.2	17.1	12.8	2.1	15.7
Solar Industries	12.5	12,658	16,600	31	191	250	304	66.2	50.7	41.7	14.1	32.1
HDFC Asset Management	11.3	2,430	3,350	38	70	80	93	34.8	30.2	26.1	10.1	35.4
Mazagon Dock Shipbuilders	10.1	2,302	3,407	48	62	75	95	37.2	30.7	24.3	8.4	30.3
Mid cap (USD 3 bn – 10 bn)												
HPCL	9.6	415	705	70	77	64	64	5.4	6.5	6.5	1.3	21.8
BHEL	9.2	243	349	44	4	9	14	63.0	26.4	17.3	3.1	12.0
Siemens Energy India	8.3	2,125	3,416	61	39	53	64	54.5	40.4	33.2	14.9	38.6
Hitachi Energy	8.0	16,501	24,770	50	225	290	472	73.3	56.9	35.0	12.6	24.1
Coromandel Intl.	7.2	2,248	2,610	16	75	98	110	30.1	22.9	20.4	4.3	20.4
Max Life Insurance*	6.0	1,599	2,085	30	3	3	4	24.9	19.5	14.9	1.9	17.5
Nippon Life India AM	5.7	824	1,020	24	24	28	33	33.8	29.0	25.0	11.5	40.4
Radico Khaitan	4.3	2,962	3,900	32	45	60	78	66.5	49.0	38.0	10.0	22.5
Apar Industries	3.1	7,033	10,740	53	246	317	398	28.6	22.2	17.7	4.6	22.3
Small cap (< USD 3 bn)												
PTC Industries	2.9	17,478	23,005	32	65	197	460	267.7	88.7	38.0	14.9	18.2
Chalet Hotels	2.0	820	1,210	48	23	30	37	36.2	27.0	22.1	4.1	16.4
Sobha	1.6	1,382	2,399	74	30	57	81	46.5	24.1	17.0	2.7	11.8
DOMS Industries	1.6	2,383	3,309	39	40	48	59	59.7	49.8	40.2	9.8	21.5
Aditya Birla Real Estate	1.6	1,289	2,820	119	(5)	3	102	(259.9)	421.5	12.6	3.9	0.9
Allied Blenders and Distillers	1.4	449	730	63	9	13	17	48.7	35.5	27.1	6.8	20.1
Ujjivan Small Bank	1.3	63	80	28	3	5	7	19.2	12.0	9.6	1.6	14.1
Sharda Cropchem	0.8	806	1,360	69	64	70	81	12.6	11.5	9.9	2.1	19.3
Precision Wires India	0.4	215	305	42	7	9	13	32.2	23.5	16.1	4.6	20.9
SAMHI Hotels	0.4	176	260	48	8	12	15	22.7	15.1	11.7	1.9	12.2
Studds Accessories	0.2	496	750	51	21	25	30	23.2	20.2	16.7	3.4	17.6
Bajel Projects	0.2	148	270	83	3	9	15	50.9	17.1	9.9	2.4	15.0

Source: Bloomberg, Antique. Prices as on January 23, 2026
Note - For insurance stocks (HDFC LIFE), P/VNB has been used instead of P/E, P/EV instead of P/B and RoEV instead of RoE

Union Budget math

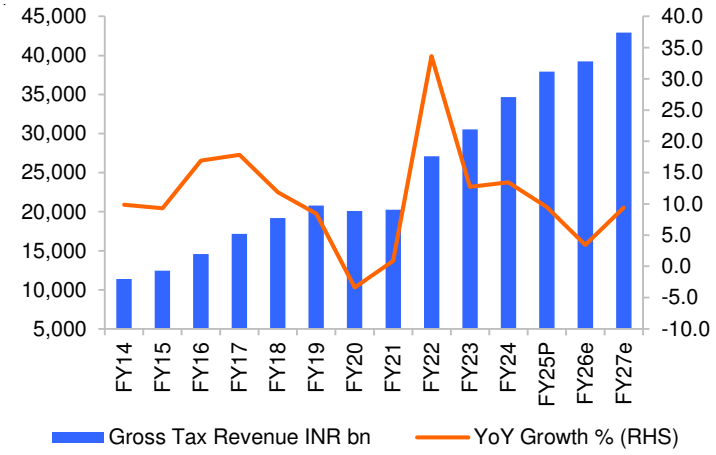
FY27 fiscal deficit likely to be ~4.2% of GDP

Center (INR bn)	FY24A	FY25P	FY26BE	FY26 Antq est	FY27e	FY25 YoY (%)	FY26 YoY (%)	FY27 YoY (%)	FY26 Antq est vs BE
Total receipts	**27,889**	**30,782**	**34,964**	**33,100**	**36,419**	**10.4**	**7.5**	**10.0**	**-5.3**
Revenue receipts	**27,284**	**30,364**	**34,204**	**32,440**	**35,660**	**11.3**	**6.8**	**9.9**	**-5.2**
Tax revenue	**23,265**	**24,989**	**28,374**	**26,068**	**28,525**	**7.4**	**4.3**	**9.4**	**-8.1**
Gross Tax Revenue	34,655	37,952	42,702	39,244	42,941	9.5	3.4	9.4	-8.1
Income Tax	10,109	11,830	14,380	12,691	14,087	17.0	7.3	11.0	-11.7
GST	9,627	10,316	11,780	9,722	10,145	7.2	-5.8	4.4	-17.5
Corporate Tax	9,111	9,868	10,820	10,836	12,245	8.3	9.8	13.0	0.1
Excise	3,054	3,003	3,170	3,265	3,852	-1.7	8.7	18.0	3.0
Customs	2,331	2,329	2,400	2,177	2,003	-0.1	-6.5	-8.0	-9.3
Less: State's share	11,295	12,869	14,224	13,073	14,304	13.9	1.6	9.4	-8.1
Non-Tax revenue	4,019	5,375	5,830	6,372	7,134	33.8	18.5	12.0	9.3
Capital receipts excl borrowings	**605**	**418**	**760**	**660**	**759**	**-30.8**	**57.8**	**15.0**	**-13.2**
Total Expenditure	**44,425**	**46,555**	**50,653**	**48,753**	**53,046**	**4.8**	**4.7**	**8.8**	**-3.8**
Revenue expenditure	**34,940**	**36,035**	**39,443**	**37,543**	**40,546**	**3.1**	**4.2**	**8.0**	**-4.8**
Capital expenditure	**9,485**	**10,520**	**11,211**	**11,211**	**12,500**	**10.9**	**6.6**	**11.5**	**0.0**
Fiscal Deficit	**16,537**	**15,773**	**15,689**	**15,654**	**16,628**	**-4.6**	**-0.8**	**6.2**	**-0.2**
Fiscal Deficit to GSDP	**5.5**	**4.8**	**4.4**	**4.4**	**4.2**				**-0.3**
Revenue Deficit (-ve=surplus)	**7,656**	**5,671**	**5,238**	**5,103**	**4,886**	**-25.9**	**-10.0**	**-4.2**	**-2.6**
Revenue deficit as % GSDP	2.5	1.7	1.5	1.4	1.2				-2.6
Primary deficit	5,898	4,609	2,926	2,890	2,588	-21.9	-37.3	-10.5	-1.2
Primary deficit as % of GDP	2.0	1.4	0.8	0.8	0.7				-1.3
GSDP	**3,01,230**	**3,30,681**	**3,56,979**	**3,57,140**	**3,92,854**	**9.8**	**8.0**	**10.2**	**0.0**

Source: Budget Document, CMIE, Antique; Note: FY26e & FY27e are Antique estimates

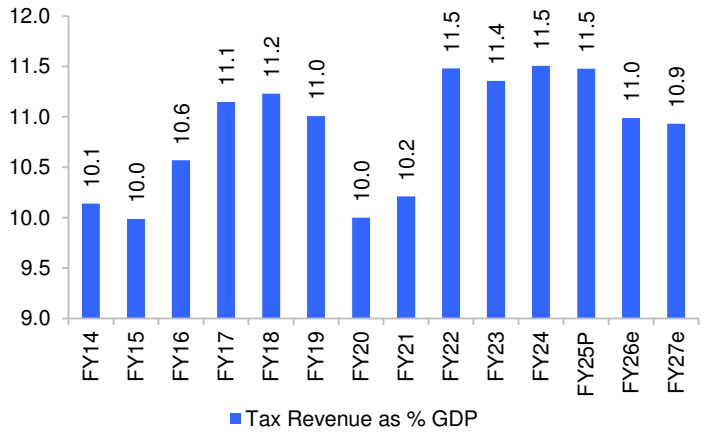
Expect modest growth in tax revenue

Exhibit 1: Tax revenue expected to grow at 9.4% YoY



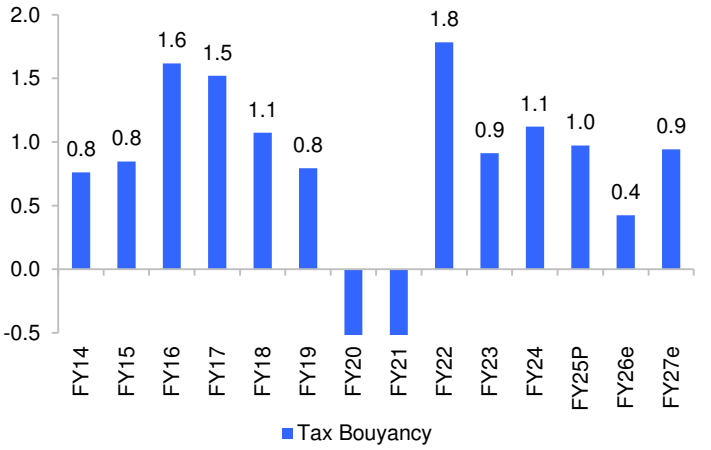
Source - Budget Document, CMIE, Antique. Note - FY26e & FY27e are Antique estimates

Exhibit 2: Tax revenue as % of GDP to remain benign



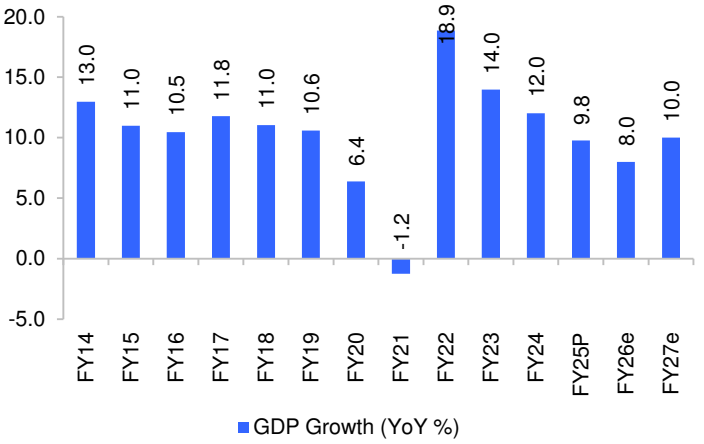
Source - Budget Document, CMIE, Antique. Note - FY26e & FY27e are Antique estimates

Exhibit 3: Expecting reasonable tax buoyancy



Source - Budget Document, Antique. Note - FY26e & FY27e are Antique estimates.
Tax Buoyancy is calculated by dividing Gross tax revenue growth by GDP growth

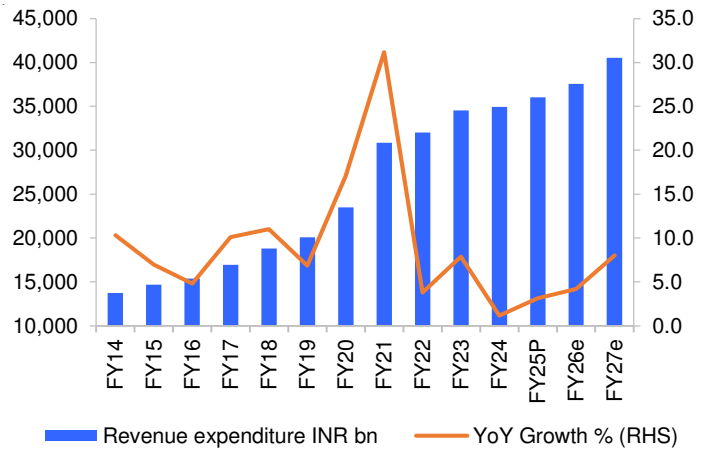
Exhibit 4: Expect nominal GDP growth of 10.2% YoY



Source - Budget Document, CMIE, Antique. Note - FY26e & FY27e are Antique estimates.

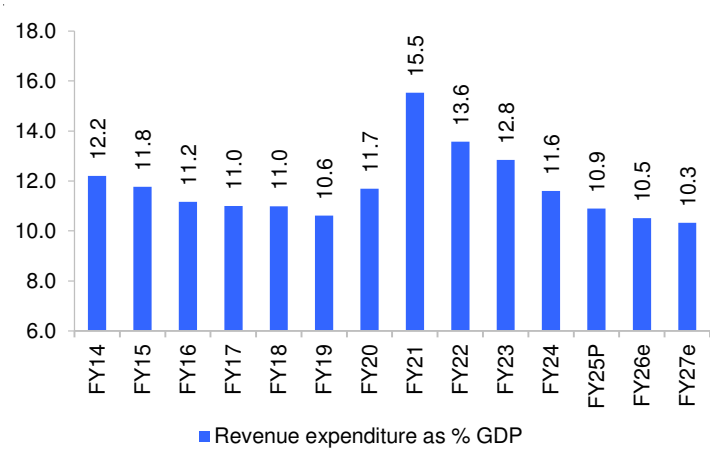
Revenue expenditure may drop below the pre-pandemic level

Exhibit 5: Revenue expenditure to grow at 8.0% YoY



Source - Budget Document, CMIE, Antique. Note - FY26e & FY27e are Antique estimates

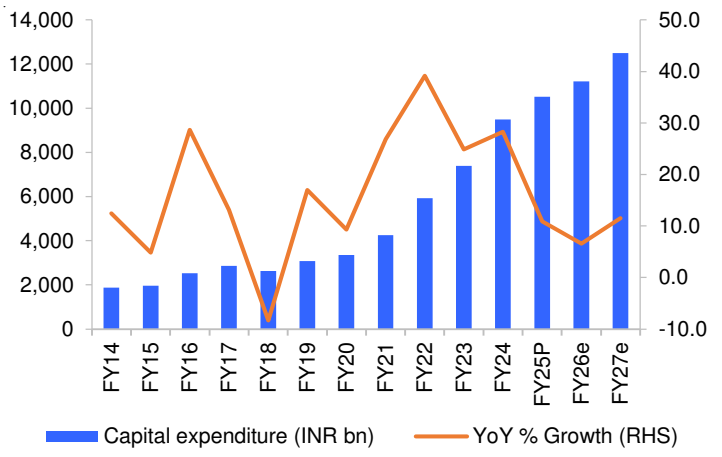
Exhibit 6: To drop below pre-pandemic level



Source - Budget Document, CMIE, Antique. Note - FY26e & FY27e are Antique estimates

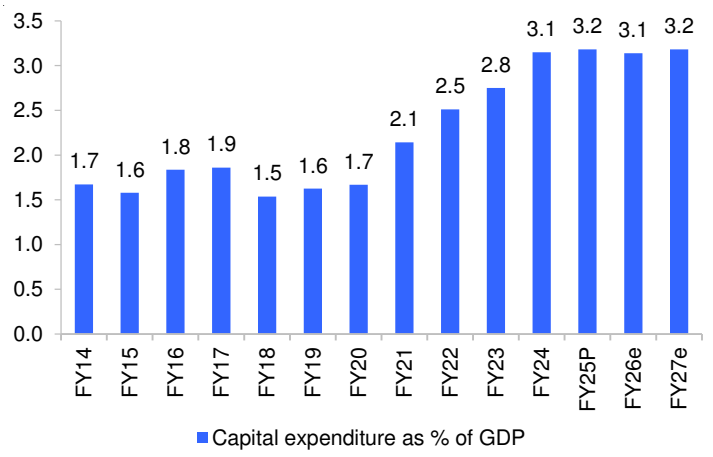
Focus on capex to continue

Exhibit 7: Focus on capital spending to continue



Source - Budget Document, CMIE, Antique. Note - FY26e & FY27e are Antique estimates

Exhibit 8: Capex as share of GDP to remain at the highest levels



Source - Budget Document, CMIE, Antique. Note - FY26e & FY27e are Antique estimates

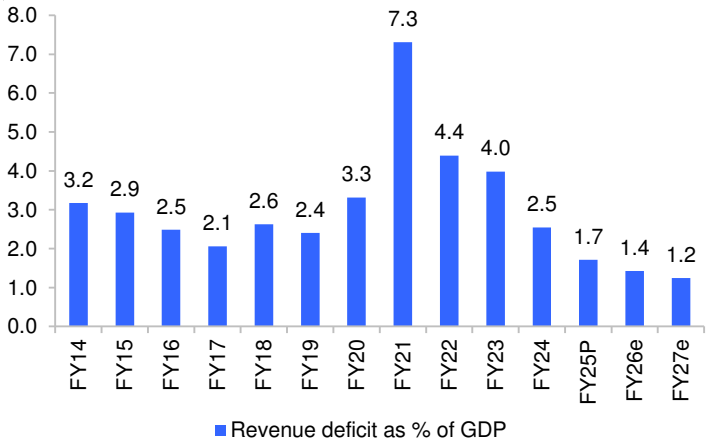
Table 1: Pace of capital spending may reduce during Dec-March 2026

Capital expenditure (INR bn)	8MFY26	YoY%	4MFY26e	YoY%	FY26	YoY%
Ministry of Road Transport and Highways	1,770	20.6	954	-31.1	2,725	-4.5
Ministry of Railways	1,820	8.2	700	-16.3	2,520	0.0
Ministry of Defence	1,169	52.5	536	-43.0	1,705	-0.1
Ministry of Finance	724	-3.3	857	-19.3	1,580	-12.7
Ministry of Communications	185	211.1	577	-16.4	762	1.6
Ministry of Housing and Urban Affairs	167	19.0	150	-14.9	317	0.1
Total of above ministries	**5,834**	**19.9**	**3,775**	**-25.9**	**9,609**	**-3.5**
Total	**6,582**	**28.2**	**4,629**	**-14.0**	**11,211**	**6.6**

Source - Budget document, CGA, CMIE, Antique

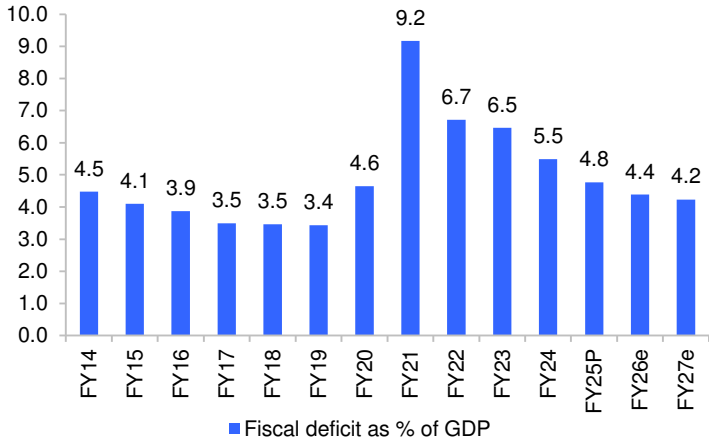
Fiscal consolidation to further gain pace

Exhibit 9: Revenue deficit likely to ease further in FY27



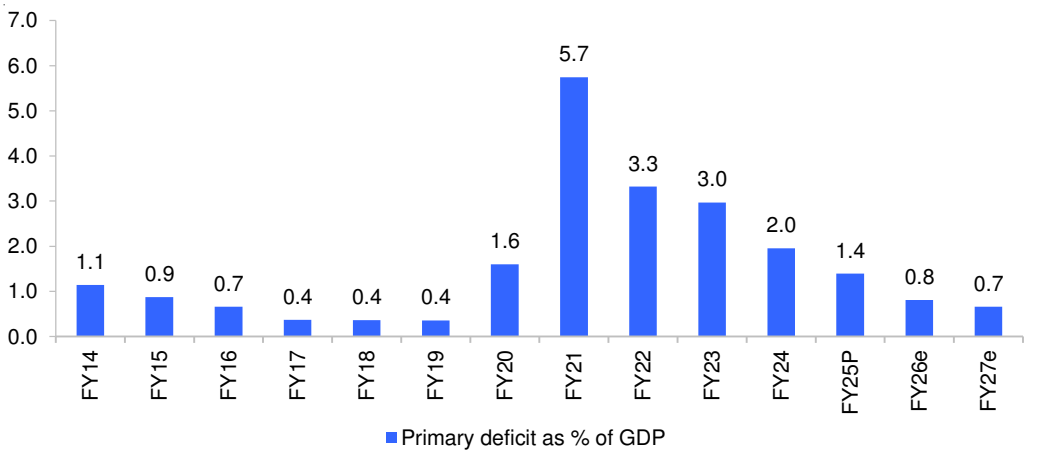
Source - Budget Document, Antique. Note - FY26e & FY27e are Antique estimates

Exhibit 10: FY27 fiscal deficit is likely to consolidate at 4.2% of GDP



Source - Budget Document, Antique. Note - FY26e & FY27e are Antique estimates

Exhibit 11: Expect primary deficit of 0.7% of GDP in FY27



Source - Budget Document, Antique. Note - FY26e & FY27e are Antique estimates

Sector-wise expectations

Expected budget announcements	Implications	Key beneficiaries
Agrochemicals & Fertilizers		
Continuation of additional subsidy on DAP and increase in overall fertilizer subsidy	Increase in RM prices and INR depreciation, subsidy outgo for FY26 is expected to be higher YoY	Neutral for the fertilizer sector
AMC		
While no major changes are expected, the street may watch out for (a) No change in taxability of fixed deposits	No major change in any regulation could be positive	NAM and HDFCAMC top picks
Auto		
Recalibration of EV subsidies in bus/ trucks space	Positive	CV sector-JBM, Ashok Ley, TaTA CV, Olectra
Expect ~10% incremental allocation to Infrastructure projects	Positive	Ashok Leyland, Tata Motors
Support for localization & supply chains: Relook at the PLI scheme and new introductions/ changes in EV components space to boost manufacturing	Positive	UNO Minda, Minda Corp, Sona Comstar, Sansera Engineering, Motherson Sumi Wiring, Samvardhana Motherson
Changes in scrappage policy to make it more attractive for fleet operators	Positive	Ashok Leyland, Tata Motors
Further thrust on reviving rural economy/ rural income, especially states where elections are forthcoming	Positive	Hero, Mahindra Tractors, Maruti Suzuki
Banks		
PSU Banks: Expectation of fresh PSU bank reform agenda, including potential mergers of smaller public sector banks and roadmap toward reducing government ownership	Structural positive for PSU banks-improving governance and risk standards	PSU banks
Focus on capex while maintaining fiscal prudence	Impetus for credit demand and growth	Positive for financials
Some additional measure to promote affordable housing demand/ real estate market	Positive for affordable housing players	HFCs, banks
Deposits: i) Tax treatment for interest on deposits should be at par with LTCG and STCG, ii) Lock-in period for Tax savings FD may be made equal to ELSS of Mutual funds (3 years)	This move could help in deposits mobilization for banks	Overall banks

Sector-wise expectations

Expected budget announcements	Implications	Key beneficiaries
Building Materials		
Aim to further deliver 20 mn houses over next five years under **PM Awas Yojana Gramin** - Budgeted outlay of INR 3.1 trn over FY25-29	Positive for tile and pipe players	**Key beneficiaries**: Kajaria, Somany, Apollo Pipes, Prince, Finolex, Supreme and Astral
Credit-Linked Subsidy Scheme (CLSS) outlay of INR 100-150 bn to support 2 million first time buyers over five years under **PMAY-Urban 2.0**		
A scheme to help deserving sections of the middle class (living in rented houses/ slums/ chawls/ unauthorized colonies) to buy or build their own houses	Positive for tile and pipe players	Key beneficiaries: Kajaria, Somany, Apollo Pipes, Prince, Finolex, Supreme and Astral
Recently the government has announced extension of Jal Jeevan Mission until 2028 with an enhanced total outlay	Positive for pipe players	Key beneficiaries: Apollo Pipes, Prince, Finolex, Supreme and Astral
Atal Mission for Rejuvenation and Urban Transformation (AMRUT) - Provide universal coverage of water supply through functional taps to all households and coverage of sewerage/ septage management in 500 cities	Positive for pipe players	Key beneficiaries: Apollo Pipes, Prince, Finolex, Supreme and Astral
Promotion of water supply and sewage treatment projects and services for 100 large cities	Positive for pipe players	Key beneficiaries: Apollo Pipes, Prince, Finolex, Supreme, and Astral
Cement		
Higher 10%-15% YoY growth in capex by government	Pick-up in demand growth to improve utilization/ pricing	All cement companies Top picks-UTCEM, JKCE and SRCM
Further thrust on reviving rural economy/ rural income especially in election based states	To revive rural housing demand (35% of overall demand)	
Any incentives to real estate sector or lower tax outgo for salaried individuals	To drive higher urban housing demand (25% of overall demand)	
Consumer		
Clarity regarding NCCD and AED for cigarette excise	Removal of NCCD, would be positive	Potentially positive for ITC
Increase in allocation to infrastructure/ MNREGA/ rural spending	Rural consumption/ demand will witness improvement	HUL, Dabur, Marico, GCPL, Nestle, Britannia, V-Mart Retail
An increase in personal tax slab	Higher disposable income with consumers	Positive for retail companies and discretionary-based consumption
Consumer Durables		
Increase in import duties on components like electric motors, diodes, resistors, etc. Extension of PLI Scheme benefits, GST rationalization for home and kitchen appliances	Flip to Make in India products	LG Electronics, Havells, Blue Star, Voltas, Crompton

Sector-wise expectations

Expected budget announcements	Implications	Key beneficiaries
Defence		
Hike in capital budget to INR 2.0-2.2 trn vs. INR 1.8 trn in 2025-26 budget	Higher order flow for defence companies	All defence companies-HAL, BEL, BDL, MDL, GRSE, CSL, PTC Ind and Zen Tech
Recognizing space infrastructure as critical assets	To unlock low-cost financing	Solar Industries, Walchandnagar Industries
Higher budgetary allocation for DRDO	To develop new technologies with special focus on fundamental research for frontier technologies	BEL, BDL, and Solar Industries
EMS		
Extension of PLI scheme benefits	Boost to local production	Kaynes, Syrma, Avalon, Cyient DLM
Hotels		
Infrastructure status for hospitality is a key demand to enable easier long-term financing, reduce borrowing costs, and accelerate capacity expansion	Positive	All hotel companies
GST rationalization is crucial, with the sector seeking lower rates on accommodation and F&B, clearer taxation on bundled services, and ITC restoration to boost affordability and viability	Positive	All hotel companies
Supportive GCC policies and easier foreign travel norms can drive higher tourism demand and strengthen India's global travel linkages	Positive	All hotel companies
Infra		
Reassessing concession frameworks and risk-reward sharing to encourage greater private participation in railways, water, and BOT-based road projects	Positive	PNC, HG Infra, IRB, KNR
Creating a defined asset monetization plan for the Centre and States, with structured consultation on transaction design	Positive	Positive for all key road players
Establishing clear policy frameworks to incentivize the expansion of digital infrastructure, including data centers, fiber networks, telecom towers, and associated value chains	Positive	Telecom Players, Data Center Developers, Tower and fiber optic companies
Life insurance		
While no major changes expected, the street may watch out for (a) Any shift to direct tax code, (b) Continuity of INR 0.5 mn exemption for non-linked savings, (c) No change in corporate tax rate, (d) No change in taxability of fixed deposits	No major change in any regulation could be positive	All life insurance companies Top picks-HDFCLIFE and MAXF

Sector-wise expectations

Expected budget announcements	Implications	Key beneficiaries
Metals and Mining		
Increase basic customs duty across all aluminum products to uniform 15% (currently 2.5%-10%)	Should help pricing power and profitability of domestic aluminum players	Nalco, Hindalco, Vedanta
Reduction on customs duty on calcined pet coke, raw pet coke, aluminum fluoride and caustic soda e lye	Lower aluminum cost of production	Nalco, Hindalco, Vedanta
Indian Steel Association (ISA) has advocated reducing/removing the 2.5% basic customs duty on coking coal	Reduce cost of production of steel	Domestic steel players-Tata Steel, Jindal Steel, JSW Steel, SAIL
The Federation of Indian Mineral Industries (FIMI) has petitioned the government to remove export duties on low-grade iron ore (fines with Fe content < 58%)	Could help realization of low grade iron ore fines	NMDC
Metro		
Increased allocation for metro capex (+10% YoY)	Positive	BEML, Titagarh
Oil & Gas		
Potential compensation for LPG under-recoveries incurred by state-owned OMCs	We expect total FY27 LPG compensation at INR 300 bn. INR 175 bn from earlier announced between Apr'26-Oct'26 and INR 125 bn between Nov'26-Mar'27 as we assume same compensation run-rate to continue	HPCL, BPCL, IOCL
Watch on excise duty revenue: a petrol/ diesel excise hike is possible, though we believe it is unlikely given margins have largely normalized	Any increase in petrol/ diesel excise duty would be negative for OMC profitability	
Pharma & Healthcare		
Structured R&D funding framework for pharma & MedTech (grants, innovation funds)	Improves viability of long-gestation R&D; accelerates shift from pure generics to complex/ innovative products	Biocon, Dr Reddy's, Sun Pharma, Cipla, Lupin
Enhanced tax incentives/ weighted deductions for in-house R&D	Higher returns on R&D spend; encourages scale-up of discovery, biologics, specialty portfolios	R&D-heavy pharma: Biocon, Dr. Reddy's, Zydus Lifesciences, Glenmark
Duty & GST rationalization for medical devices and components	Lowers cost of domestic manufacturing; improves competitiveness vs. imports	Poly Medicure, Sahajanand Medical, Surgicals India, diagnostics & device SMEs
Dedicated funding support for MedTech startups & manufacturing clusters	Strengthens domestic device ecosystem; reduces import dependence	Mid-cap & unlisted MedTech players; contract manufacturers
Incentives for AI, digital health, and advanced manufacturing (automation, robotics)	Productivity gains in drug discovery, trials, diagnostics; faster time-to-market	Health-tech platforms, diagnostics players; pharma with AI partnerships
Public-private collaboration programs (academia-industry R&D linkages)	Expands early-stage pipeline creation; de-risks innovation	Biotech startups, CDMOs, research-oriented pharma
Higher healthcare capex allocation/ hospital infrastructure fund (calls for >2.5% GDP)	Eases capital intensity and long gestation challenges of hospital projects	Apollo Hospitals, Fortis Healthcare, Max Healthcare, Narayana Hrudayalaya, and other players
Tax incentives/ credit linked support for hospital expansion in tier-2/ 3 cities	Encourages expansion into underserved markets	
Accelerated depreciation on medical equipment; easier access to long-term capital	Improves access and capacity in both primary and tertiary care	
Increased allocation for medical workforce training; support for doctors/ nurses	Helps address human capital shortage	Hospital networks with training programs, medical education verticals, professional service providers
Funding tied to quality standards & telehealth/ preventive programs	Improves service delivery, outcomes & health outcomes	

Sector-wise expectations

Expected budget announcements	Implications	Key beneficiaries
Power		
Higher allocation under RDSS (Revamped Distribution Sector Scheme) with outcome-linked funding to states	Improvement in DISCOM liquidity and payment discipline; better PPA bankability and lower counterparty risk for generators	CESC, Adani energy solution, NTPC, Adani Power, JSW energy, Tata Power; smart metering & T&D vendors
Dedicated push for transmission & evacuation (ISTS and intra-state) via higher central capex / concessional financing windows	Faster RE commissioning, lower curtailment risk; improved visibility on transmission-led earnings	Power Grid, Adani Energy Solutions, state transmission utilities, EPC players
Policy support for Energy Storage (BESS) - GST rationalization, capital support or pilot funding	Improves economics of hybrid + storage projects; enables RE firming and peak supply	NTPC Green, JSW Energy, Tata Power, RE developers with storage focus
Railways		
Increased allocation (+5%-10% YoY targeted towards safety, new infrastructure creation, Dedicated freight corridor	Positive	Titagarh, Jupiter, EPC players like KEC
Real estate		
Revising of affordable housing definition	Increase in size and value of affordable housing definition, will align with new market reality	Primary: KPDL, SRIN, BRGD, ARVSMART Secondary: Overall real estate sector
Tax incentives to senior living and rental housing schemes	Dearth of real estate in these categories by quality developers. Tax incentives and other incentives will boost this segment and the overall sector	All companies
Staffing		
Further relaxation in labor laws and steps to incentivize formalization of labor force	Organized labor force will increase and this will accelerate the formalization of labor force	All IT & staffing companies
Textile		
Removal of import duty on raw cotton	Lower cost across value chain and improve competitiveness for yarn manufacturers	All companies

Source: Antique research

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Antique Stock Broking Limited
ITI House
36, Dr. R.K. Shirodkar Marg
Parel (East), Mumbai 400012
Tel. : +91 22 6911 3300 / +91 22 6909 3600
www.antiquelimited.com